

Before the
FEDERAL MARITIME COMMISSION

Docket No. 24-21

PKDC, LLC

v.

CMA CGM S.A.

RESPONDENT CMA CGM S.A.'S OPPOSITION TO MOTION TO COMPEL

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Pursuant to 46 C.F.R. Sections 502.71 and 502.150 of the Federal Maritime Commission's Rules of Practice and Procedure, Respondent CMA CGM S.A. ("Respondent" or "CMA CGM") hereby opposes the motion of Complainant PKDC, LLC ("Complainant" or "PKDC") to compel answers to certain interrogatories and production of certain documents.

I. LEGAL STANDARD

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). On motion or on its own, the Presiding Officer may limit the frequency or extent of discovery otherwise allowed by these rules if the Presiding Officer determines that:

- (A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;
- (B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or
- (C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii).

II. SUMMARY OF ARGUMENT

The discovery Complainant seeks to compel should not be allowed. The material sought is not reasonably calculated to lead to the discovery of admissible evidence and/or the burden and expense of producing the information outweighs the benefit of production in light of the relevant factors enumerated in the Commission regulation quoted above, particularly the resources of the parties. In some instances, the information sought or appropriate substitute information can be obtained through less burdensome means.

Pursuant to 46 C.F.R. §501.150(a)(3), the specific discovery requests are not repeated below, but each (as revised) is summarized and addressed below in light of the applicable legal standard.

III. ARGUMENT

A. Interrogatories #20 (Average contract and spot rates for service contract lanes from 2019 through 2022) and #21 (Average spot market rates for service contract lanes from 2019 through 2022)

As an initial matter, Interrogatory #21, as revised, is duplicative of Interrogatory #20, as revised. Accordingly, a response to Interrogatory #21 should not be compelled.

Interrogatory #20 (both as originally drafted and as revised) is not reasonably calculated to lead to the discovery of admissible evidence. As CMA CGM has indicated in the meet and confer with PKDC, average rates are misleading and will not have any probative value.

As the Commission is aware, ocean freight rates vary based on a variety of factors, including the commodity being transported, the period during which freight is calculated, the size of the container, whether or not the container is refrigerated, and other factors. This is true of

both service contract and tariff (spot market) rates.¹ Rates for high-value commodities and/or commodities that require special treatment (such as refrigerated or hazardous cargoes) are typically higher than those for dry commodities having a lower value. In addition, service contract rates for the same or comparable commodities may vary from customer to customer based on cargo volume and other factors (e.g., customer support in other U.S. or non-U.S. trade lanes). In addition, there may be a disparity between port-port rates, port-point rates, and point-point rates. Because any average rate would include commodities and/or routings that are not similar to those moved by PKDC and/or would be incomparable for other reasons, the average ultimately calculated would not provide any meaningful information about the relationship between the rates charged to PKDC and the rates charged to other customers. Moreover, the rather arbitrary result of such an analysis would not produce relevant information or lead PKDC to further relevant information.

In addition, Interrogatory #20, as revised, is unduly burdensome. The trade lanes covered by the service contract between the parties include the trade from China to the U.S. West Coast, one of the highest volume trade lanes in the world. During the period covered by the service contract between the parties, CMA CGM operated, alone or in cooperation with other carriers, no fewer than 12 weekly services between China and the U.S. West Coast, giving CMA CGM a total weekly eastbound allocation from China to the U.S. West Coast of approximately 39,500 TEUs per week. Affidavit of Pierre-Edward Eouzan, ¶¶ 4 and 5 (hereinafter “Eouzan Aff.”). To calculate the misleading average freight rates sought by PKDC, CMA CGM would have to manually review the thousands of invoices issued each week for a year or more, determine which reflected contract rates and which reflected spot rates, add the freight rates in each category, and

¹ CMA CGM is assuming that PKDC is using the term “spot rate” to mean tariff rate. However, the term is undefined by PKDC, leaving the Interrogatory ambiguous as to whether the term “spot rate” means only the tariff rate, or is also meant to include short-term contract rates.

then divide the total by the number of containers moved in that category. Eouzan Aff., ¶ 6. This number is even higher when one includes the origin countries other than China (i.e., Indonesia, Korea, Malaysia, Taiwan, Thailand and Vietnam) and U.S. destinations other than the U.S. West Coast covered by the service contract. This represents a considerable burden that outweighs the benefit of requiring a response, given that the average will ultimately be misleading for the reasons set forth above.

If an average freight rate could be considered meaningful (which CMA CGM denies), there are less burdensome means for PKDC to obtain this information. It is well-established that during the Covid-19 pandemic cargo demand soared and at times outstripped vessel capacity, resulting in increased freight rates. Spot market rates in particular rose to historically high levels. *FMC Fact Finding Investigation No. 29*, Final Report, May 31, 2022, pp. 40-42. There are freight indices which track market rate levels (such as Xeneta, Drewry, Freightos, and the Shanghai Containerized Freight Index) which could be used by PKDC to support its argument without requiring CMA CGM to shoulder the burden the described above.²

In light of the foregoing, CMA CGM should not be compelled to respond to Interrogatory #20.

B. Interrogatory #26 (Contract and non-contract cargo on each sailing for which a PKDC booking was attempted but did not result in cargo being carried and average contract and non-contract freight rates for each category)

The rate aspect of Interrogatory #26 is a sub-set of the rate information sought by Interrogatory #20 and should not be compelled for the reasons set forth above with respect to Interrogatory #20.

² CMA CGM proposed a stipulation that spot rates are generally higher than service contract rates. This proposal was not acceptable to PKDC.

With respect to the cargo volume aspect of Interrogatory #26, as noted above, CMA CGM operated no fewer than 12 weekly services between China and the U.S. West Coast during the period of the contract between the parties. In order to produce the response sought by PKDC, CMA CGM would need to engage in an exercise similar to that described above for calculating the average freight rate. Namely, it would first need to identify each sailing³ on which PKDC attempted to book cargo. This is literally impossible to do because in many cases PKDC moved cargo through NVOCCs, and, in such instances, CMA CGM would not know the owner of the cargo on whose behalf the NVOCC was attempting to book for transport. Then, for those bookings PKDC made or attempted to make directly, CMA CGM would need to identify the relevant sailing and conduct a manual review of other records in order to determine how much of the cargo carried on each sailing was moving under service contracts and how much was moving under tariff rates. *Eouzan Aff.*, ¶ 7. This is extremely burdensome in that it requires a manual evaluation of records relating to many thousands of shipments. *Eouzan Aff.*, ¶ 7.

However, there is once again a less burdensome means for PKDC to obtain information close to the volume information it is seeking in Interrogatory #26. CMA CGM is producing, in response to other discovery requests, certain business records that reflect on a weekly basis the volume of contract and non-contract cargo transported by CMA CGM. While these records cover the inbound trade overall and are not specific as to individual sailings, CMA CGM submits they provide a reasonable proxy for the information sought in light of the burden of responding to the Interrogatory as revised. CMA CGM is prepared to provide the Presiding Officer with an example of the records in question should that be of assistance in rendering a decision on PKDC's motion.

³ Because of port congestion during this period, particularly at the Ports of Los Angeles/Long Beach, vessels were frequently delayed. This means there weekly sailings may not have occurred as scheduled at certain points during the term of the service contract. Nonetheless, the magnitude of the burden imposed by this request remains significant.

C. RFPs #21 and #22 (Invoices showing rates charged to all service contract customers and non-service contract customers on all sailings on which PKDC cargo was booked or a booking of PKDC cargo was attempted)

Here, PKDC seeks invoices issued to other customers, which represent commercially sensitive information. In addition to its sensitivity, this information is not reasonably calculated to lead to the discovery of admissible evidence in light of PKDC's allegations and would be unduly burdensome to produce.

With respect to the likelihood that this information is or would lead to admissible evidence, PKDC's reliance on the December 8, 2021, Order Granting Motion to Compel in *MCS Industries v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*, (FMC Docket No. 21-05)(hereinafter "MCS Order") is misplaced. The distinction between the two cases highlights why the motion to compel production of these documents should be denied.

The MCS Order compelled production of pricing information (MCS Order at 10-11), but it did so because such information was relevant to the claims of MCS. Those claims included an allegation of unfair and unjust discrimination. *Id.* Information about the rates charged to other customers could be relevant to a claim of unfair and unjust discrimination.

PKDC makes no allegation of unfair or unjust discrimination here. Its complaint did include a claim of discrimination in violation of section 41104(a)(9), which claim was dismissed.⁴ Thus, there is no longer any claim of discrimination in this case, which makes the claims at issue in this case materially different from those at issue in *MCS*. It is difficult to understand why the rates charged to every single other customer on each sailing on which PKDC moved or attempted to move cargo is relevant to PKDC's claims. Where PKDC's cargo was

⁴ See Order Partially Granting Motion to Dismiss (December 20, 2024).

moved, this rate information cannot be argued to be relevant at all. Even where PKDC's cargo was not moved, it is not clear why this information is relevant. It has no bearing whatsoever on whether CMA CGM was providing space other than in accordance with the terms of its service contract with PKDC or on whether CMA CGM unreasonably refused to deal with PKDC.

Similarly, there is no apparent connection between the rates charged to other customers and PKDC's claim that CMA CGM engaged in an unreasonable practice. Even assuming *arguendo* that CMA CGM prioritized some cargo (e.g., that of higher paying contract customers) over PKDC's cargo, any business person would consider that to be a very reasonable action. In this regard, it has been held that: "Making a profit or increasing income, without more, would not violate the Shipping Act." *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, Order Denying Motion to Compel Deposition (FMC Docket No. 22-30, June 9, 2023).

In other words, even if CMA CGM is forced to expend the resources to produce these invoices, and if PKDC has the resources to analyze them and discard those that are irrelevant (see discussion of differences in rates in connection with Interrogatory #20 above), and assuming the invoices were to show that CMA CGM did prioritize higher paying cargo, it is not clear that these documents are relevant to PKDC's allegations.⁵

In addition, production of commercially sensitive pricing information with respect to non-party customers has been denied where the burden and expense of production outweigh the probative value of that information. *OJ Commerce, LLC v. Hamburg Südamerikanische*

⁵ This also illustrates why allegations of a failure to provide space under a service contract are garden-variety breach of contract claims over which the Commission has no jurisdiction, despite efforts by shippers to convert such claims into Shipping Act claims. Under contract law, liability for a breach is, *prima facie*, strict liability. 23 *Williston on Contracts*, §63:8 (4th Ed.). In other words, the fact that a breach has occurred means that absent a valid defense the breaching party is liable for damages regardless of the reason for the breach. The Commission is improperly and unlawfully expanding its jurisdiction to include breach of contract claims by analyzing the motives behind alleged breaches. This is an issue that CMA CGM has raised previously in this proceeding, and which it intends to pursue with the Commission and, if necessary, the U.S. Court of Appeals.

Dampfschiffahrts-Gesellschaft A/S & Co KG, Order on Respondents' Motion to Compel and Revised Schedule (FMC Docket No. 21-11, June 29, 2022). In light of the lack of value this information would have with respect to PKDC's claims, PKDC's motion to compel should be denied.

D. RFP #44 (Documents reflecting internal CMA CGM internal discussions regarding rejection of contract cargo in contract trades lanes during contract term)

This request is overly broad and unduly burdensome. Bookings of service contract cargo might be rejected for any number of reasons including but not limited to: the customer being in arrears in payments, the booking being for a commodity or routing not covered by the customer's contract, the customer or its agent providing incomplete or incorrect information (such as the wrong contract number), or the customer having utilized its full allocation on a particular sailing prior to the attempted booking. *Eouzan Aff.*, ¶ 8. These are just a few of the reasons a booking might be rejected. In order to respond to this request, CMA CGM would have to conduct a search of the electronic mailboxes of virtually every CMA CGM employee involved in the trans-Pacific trade during the time period in question, including employees in France, the United States, and each Asian origin country that was covered by the service contract between the parties. This is a task that would require review of literally millions of email messages. *Eouzan Aff.*, ¶ 9.

Even then, production of messages relating to the rejection of specific contract bookings would not be relevant in light of the multitude of reasons a booking might be rejected. In addition, discussions about different contract customers would have no bearing on PKDC's claims. More specifically, PKDC's claims relate to its contract, negotiated and managed by specific CMA CGM employees, and the contract includes very precise origins and destinations as well as allocations that were influenced by PKDC's own correspondence with CMA CGM.

No other customer would have identical service contract terms, shipping lanes, points of contact, allocations, and communications with CMA CGM. As such, this request cannot be considered relevant or likely to result in the discovery of relevant information as stated and should be rejected.

In light of the foregoing, the burden of producing these documents outweighs the value of doing so and a response should not be compelled.

IV. CONCLUSION

For the reasons set forth above, the motion to compel should be denied. If the motion to compel is granted, it is likely that CMA CGM will need and seek a substantial extension of the deadline for completion of discovery in order to undertake the extremely burdensome effort that would be required to comply.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 15th day of May, 2025, the foregoing Opposition to Motion to Compel was served via electronic mail on:

Jason Kenner, Esq. (jkenner@strtrade.com)

Andrew Margolis, Esq. (amargolis@strtrade.com)

/s/ Wayne R. Rohde
Wayne R. Rohde

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Respondent.

DECLARATION OF PIERRE-EDOUARD EOUZAN

1. My name is Pierre-Edouard EOUZAN and I am Vice President North America Lines for CMA CGM S.A. (“CMA CGM”). I have held that position since February of 2025. In my capacity as Vice President, I am responsible for transpacific and transatlantic services.

2. From June of 2018 to February of 2025, I was Vice President Transpacific responsible for transpacific services.

3. By virtue of my positions as Vice President North America Lines and Vice President Transpacific Lines, I am familiar with CMA CGM’s services during 2021-22.

4. During the period from April of 2021 through April of 2022, CMA CGM operated, alone or in cooperation with other carriers, no fewer than 12 weekly services between China and the U.S. West Coast.

5. The services described in the preceding paragraph gave CMA CGM a total weekly eastbound allocation from China to the U.S. West Coast of approximately 39,500 TEUs per week.

6. To calculate the average freight rates of service contract and non-service contract cargo transported by CMA CGM during 2021-22, it would be necessary to review manually the thousands of invoices issued each week during that time period, determine which reflected contract rates and which reflected spot rates, add the freight rates in each category, and then divide the total by the number of containers moved in that category.

7. To determine the volume of service contract and non-service contract cargo on each sailing during this period, CMA CGM would need to conduct a manual review of records in order to determine how much of the cargo carried on each sailing was moving under service contracts and how much was moving under tariff rates. This is extremely burdensome in that it requires a manual evaluation of records relating to many thousands of shipments.

8. Bookings of service contract cargo might be rejected by CMA CGM for any number of reasons including but not limited to: the customer being in arrears in payments, the booking being for a commodity or routing not covered by the customer's contract, the customer or its agent providing incomplete or incorrect information (such as the wrong contract number), or the customer having utilized its full allocation on a particular sailing prior to the attempted booking.

9. In order to identify internal discussions relating to the rejection of contract shipments, CMA CGM would have to conduct a search of the electronic mailboxes of virtually every CMA CGM employee involved in the trans-Pacific trade during the time period in question, including employees in France, the United States, and each Asian origin country that was covered by the service contract between the parties. This is a task that would require review of literally millions of email messages.

* * * * *

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.



Pierre-Edouard EOUZAN

Dated: May 14, 2025